

**Time:** 5 minutes**Outcome:** Interpret quotations, convert currencies, and classify appreciation or depreciation.**Difficulty:** ●●○ Intermediate

Nominal Exchange Rates and Currency Values



THE CORE IDEA

A nominal exchange rate states how much one currency trades for another. With a quotation in foreign currency per unit of domestic currency, a higher rate means domestic appreciation and a lower rate means depreciation. Write the units before converting currencies or calculating a percentage change.



HOW TO RECOGNIZE IT

- Foreign currency per dollar: multiply dollars by the quoted rate to obtain foreign currency.
- To convert foreign currency back to dollars, divide by foreign currency per dollar.
- A rise from 0.90 to 0.99 foreign units per dollar is a 10% dollar appreciation.
- The reciprocal quotation moves in the opposite direction.



WATCH OUT

Never say only 'the exchange rate rose.' Name the quotation. A rise in foreign currency per dollar is dollar appreciation, but a rise in dollars per foreign currency means dollar depreciation.



WORKED EXAMPLE: UNITS FIRST, THEN ARITHMETIC

At 0.90 euros per dollar, \$200 buys $200 \times 0.90 = 180$ euros. A rise to 0.99 is $(0.99 - 0.90) / 0.90 = 10\%$ dollar appreciation; \$200 buys 198 euros. Alternatively, a fall from 0.90 to 0.81 is 10% depreciation; \$200 buys 162 euros.



CHECK YOURSELF

The quote falls from 1.20 to 1.08 foreign units per dollar. Did the dollar appreciate or depreciate, and by what percent?

**READY?**

Return to the game and master this concept.